economy where there is no default is an economy where promoters and banks are taking too little risk. What I am warning against is the uneven sharing of risk and returns in enterprise, against all contractual norms established the world over – where promoters have a class of 'super' equity which retains all the upside in good times and very little of the downside in bad times, while creditors, typically public sector banks, hold 'junior' debt and get none of the fat returns in good times while absorbing much of the losses in bad times.

WHY DOES IT HAPPEN?

Why do we have this state of affairs? The most obvious reason is that the system protects the large borrower and his divine right to stay in control.

This is not for want of laws. The Debts Recovery Tribunals (DRTs) were set up under the Recovery of Debts Due to Banks and Financial Institutions (RDDBFI) Act, 1993 to help banks and financial institutions recover their dues speedily without being subject to the lengthy procedures of usual civil courts. The Securitization and Reconstruction of Financial Assets and Enforcement of Security Interests (SARFAESI) Act, 2002 went a step further by enabling banks and some financial institutions to enforce their security interest and recover dues even without approaching the DRTs. Yet the amount banks recover from defaulted debt is both meagre and long delayed. The amount recovered from cases decided in 2013-14 under DRTs was Rs 30,590 crores while the outstanding value of debt sought to be recovered was a huge Rs 2,36,600 crores. Thus recovery was only 13 per cent of the amount at stake. Worse, even though the law indicates that cases before the DRT should be disposed off in six months, only about a fourth of the cases pending at the beginning of the year are disposed off during the year – suggesting a four-year wait even if the tribunals focus only on old cases. However, in 2013-14, the number of